

Chapter 11

“It’s Just a Ponzi Scheme, Isn’t It?”

The example of Tulipmania and similar events should remind the innovative investor that bubbles can appear quickly and violently, especially in cryptoassets. These patterns have been repeated in bitcoin’s bubbles, steem’s stratospheric summer rise, and zcash’s postrelease run. Given the emerging nature of the cryptoasset markets, it’s important to recognize that there is less regulation (some would say none) in this arena, and therefore bad behavior can persist for longer than it may in more mature markets.

As activity grows in the bitcoin and cryptoasset markets, investors must look beyond the madness of the crowd and recognize that there are bad actors who seek easy prey in these young markets. The growth of new cryptoassets and new investment products around them create a rapidly evolving marketplace in which financial criminals can exploit profit-seeking motives, especially if the innovative investor doesn’t perform proper due diligence. This chapter will focus on Ponzi